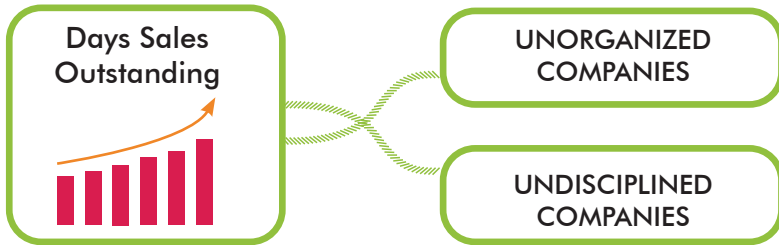


In contrast, DSO increases while dealing with **unorganized and undisciplined industries or companies**.



This is because there is a difference between **communicated credit terms** and **actual receivable days**.



Verbal Agreement



Actual Receivable

Thus, we need to find out the credit terms communicated and compare it with actual DSO days. However, this data is not always available.